Q1 2025 Financial Report

Prepared by: Finance Department | Date: April 5, 2025 | Classification: Internal

1. Executive Summary

Q1 2025 showed solid revenue growth of 12% quarter-over-quarter, reaching $42M in total revenue. Operating expenses increased by 8% due to planned infrastructure investments and new hires. Net income was $6.2M, representing a 14.8% net margin. Customer retention rate remained strong at 94%, though two high-value customers flagged concerns about platform reliability.

2. Revenue Breakdown

Product	Q1 2025	Q4 2024	Change
Data Platform	$24.5M	$21.8M	+12.4%
Analytics Suite	$14.2M	$12.7M	+11.8%
Professional Services	$3.3M	$3.0M	+10.0%
Total	**$42.0M**	**$37.5M**	**+12.0%**

3. Operating Expenses

Department	Budget	Actual	Variance
Engineering	$2,000,000	$1,850,000	-7.5%
Finance	$800,000	$780,000	-2.5%
Operations	$1,200,000	$1,350,000	+12.5%
Sales	$1,500,000	$1,420,000	-5.3%
HR	$600,000	$580,000	-3.3%

Operations exceeded budget by 12.5% primarily due to the Floor 3 renovation project managed by BuildRight Construction, which ran $15,000 over the approved purchase order amount. This has been flagged for review under the expense policy's non-compliant spending guidelines.

4. Vendor Performance Summary

Vendor payment compliance was 83.3% for Q1 (10 of 12 invoices paid on time). Two invoices are currently overdue: INV-2025-005 from Global Office Supplies ($2,800) and INV-2025-009 from DataFlow Analytics ($18,500). The DataFlow invoice is flagged as high priority due to the amount. Total vendor spend for Q1 was $523,500 across 8 active vendors.

5. Customer Health

Average customer satisfaction score was 3.14 out of 5 based on 7 feedback responses. Two critical platform outages in February impacted Pacific Logistics (CUST-005), leading to a VP-level escalation. The engineering team implemented safeguards including connection pool scaling and deployment checks. Metro Financial Group (CUST-002) reported degraded support response times and is considered at-risk for churn. Recommended actions: (1) Dedicated support engineer for Pacific Logistics, (2) Support SLA review for Metro Financial, (3) Proactive outreach to GreenLeaf regarding pricing concerns.

6. Key Risks & Recommendations

1. Platform Reliability: Two outages in one month is unacceptable. Engineering should prioritize infrastructure redundancy in Q2. Budget: $150,000 additional cloud spend. 2. Vendor Compliance: BuildRight Construction's budget overrun violated procurement policy. Recommend freezing new POs to BuildRight pending review. 3. Customer Churn Risk: Metro Financial and Pacific Logistics represent $2.1M ARR combined. Losing either would impact Q2 targets significantly. 4. Overdue Invoices: $21,300 in overdue vendor payments. Finance team should prioritize resolution to maintain vendor relationships.